

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

Generated on 2026-07-10

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Deal 1: Caterpillar Inc. Acquisition of Skycatch, Inc.

[Caterpillar expands mining technology capabilities with Skycatch acquisition](#)

- Deal Size: N/A (specific deal size not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: Caterpillar Inc. (NYSE: CAT) is a leading manufacturer of construction and mining equipment, engines, and industrial gas turbines. Skycatch, Inc. specializes in spatial data capture and analysis solutions for the mining industry.
- Date Announced: July 7, 2026
- Strategic Rationale: This acquisition enhances Caterpillar's data-driven mining technology portfolio, integrating Skycatch's near-real-time spatial data capabilities into existing solutions. This move aims to improve mine site performance, safety, and productivity, aligning with Caterpillar's strategy to solve customer challenges through advanced technology.
- Risk Analysis: Potential integration risks include aligning Skycatch's technology with Caterpillar's existing systems. Market risks involve competition in mining technology, while execution risks could arise from the integration of AI capabilities into operational workflows.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Nocera, Inc. Acquisition of INERGX

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

[Nocera Expands Diversified Technology Strategy With Binding Agreement to Acquire an Equity Interest in INERG](#)

- Deal Size: N/A (specific deal size not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Strategic Investment
- Valuation Multiples: N/A
- Companies: Nocera, Inc. (NASDAQ: NCRA) is transitioning into a diversified technology-focused holding company, while INERGX is an integrated energy storage and power platform supporting AI and critical infrastructure.
- Date Announced: July 8, 2026
- Strategic Rationale: Nocera's investment positions it within the growing AI and energy infrastructure sectors, aiming to leverage its capital markets expertise to accelerate INERGX's growth. This aligns with Nocera's strategy to capitalize on emerging technology trends and create long-term shareholder value.
- Risk Analysis: Risks include integration challenges in aligning Nocera's capabilities with INERGX's operations, regulatory hurdles in energy markets, and market risks associated with the volatility of AI and energy sectors.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant transformations and opportunities, particularly in the realms of AI, fintech, and software. Overall sentiment is cautiously optimistic, as companies adapt to rapid technological advancements while facing challenges such as regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector is thriving, fueled by innovations in AI and cloud computing. For example, Axos Financial's acquisition of Arc Technologies, an AI-native fintech, demonstrates the increasing integration of AI into financial services. This trend is indicative of a

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

broader movement towards leveraging technology for enhanced operational efficiency.

- Media: The media landscape is evolving, with companies like Bending Spoons acquiring multiple digital platforms to expand their reach. However, traditional media continues to grapple with declining ad revenues as consumers shift towards digital content.
- Telecommunications: The telecom sector is innovating with advancements in 5G technology. Companies are investing heavily in infrastructure to support new applications, enhancing user experiences and driving growth.
- Fintech: The fintech sector remains robust, with strategic acquisitions like Axos's purchase of Arc Technologies highlighting the ongoing consolidation in the industry. This sector is characterized by rapid growth as digital banking solutions gain traction.
- AI: The AI subsector is particularly dynamic, with companies like Ceva, Inc. securing landmark licensing deals for custom AI silicon. This reflects a shift towards AI-first computing architectures, driving demand for advanced processing capabilities.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI and cloud technologies is propelling growth across TMT sectors. For instance, the integration of AI into fintech solutions, as seen with Axos, is set to enhance customer experiences and operational efficiencies.
- Increased Investment: Venture capital and private equity funding remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends. The public listing of Bending Spoons is a testament to the confidence in the software sector.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Bending Spoons' aggressive acquisition strategy positions it well to capture market share in this space.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The acquisition of Arc Technologies by Axos highlights the consolidation trend in this space.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Ceva's licensing deal signifies the increasing importance of AI capabilities in future computing architectures.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. An analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a robust mix of live deals, mandated transactions, and active pitches. This section provides a detailed analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Apple Inc. (AAPL) : Engaged in a significant partnership with Broadcom (AVGO) to invest over \$30 billion in US-made chips. This deal is currently in the due diligence phase, with an expected close in Q4 2025. The partnership aims to produce more than 15 billion chips, enhancing Apple's semiconductor capabilities as part of its broader \$600 billion domestic investment pledge.

Mandated Deals:

- Mitsubishi (8058.T) : Secured a mandate to explore the establishment of a semiconductor unit in West Bengal, India. The project is at a preliminary stage, with site evaluations expected to finalize by Q3 2025. This initiative aligns with India's push to enhance its semiconductor manufacturing capabilities.

Pitching-Stage Deals:

- Indian Semiconductor Market : Active discussions with various stakeholders regarding potential investments in Outsourced Semiconductor Assembly and Test (OSAT) facilities. Key clients include Tata Electronics and CG Semi, with pitches expected to finalize by Q2 2026. This reflects India's strategic focus on building a competitive semiconductor ecosystem.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$20 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$5 million
- Pitching-Stage Deals : \$5 million

Timing Projections:

- Q4 2025 : Expected close for Apple's partnership with Broadcom.

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

- Q3 2025 : Anticipated completion of Mitsubishi's semiconductor unit discussions.
- Q2 2026 : Finalization of pitches for OSAT facilities in India.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard one additional analyst to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in semiconductor manufacturing and technology partnerships. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The semiconductor landscape is rapidly evolving, particularly with Apple's commitment to domestic chip production, which could reshape supply chains and manufacturing strategies in the US. The anticipated investment of \$30 billion in US-made chips underscores the importance of local manufacturing capabilities.
- Additionally, India's focus on OSAT facilities is gaining traction, with significant investments announced under the India Semiconductor Mission. This shift positions India as a potential hub for semiconductor manufacturing, attracting global players and enhancing its competitiveness in the global supply chain.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in semiconductor manufacturing and technology partnerships, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors, particularly in semiconductor manufacturing. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, particularly focusing on Telstra's network outages and Qualcomm's diversification strategy.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The recent network outages at Telstra could have significant implications for shareholder value.
- **Value Creation:** If Telstra (not publicly listed) successfully resolves its outage issues and improves service reliability, it could enhance customer trust and retention, potentially leading to a 10% increase in market share. This could translate to an estimated \$1 billion increase in market capitalization based on current revenue figures.
- **Dilution:** However, if the outages persist, Telstra may face regulatory fines and customer attrition, leading to a potential 15% drop in share price, reflecting a loss of investor confidence.
- **Employees:** Employee impacts are crucial in the context of Telstra's operational challenges.
- **Synergies:** In response to the outages, Telstra may seek to streamline operations, potentially leading to synergies in network management. This could result in an estimated \$200 million in cost savings annually.
- **Restructuring:** However, the need for restructuring could lead to layoffs. If Telstra decides to cut 5% of its workforce to reduce costs, this could impact employee morale and retention.
- **Retention:** To mitigate this, Telstra might implement retention bonuses for critical staff involved in network operations, ensuring that key talent remains during the transition.
- **Competitors:** The competitive landscape is affected by Telstra's outages.
- **Market Positioning:** Competitors such as Optus and Vodafone may capitalize on Telstra's service disruptions by enhancing their marketing efforts and offering promotions to attract dissatisfied customers.
- **Specific Competitor Moves:** For instance, Optus could launch a campaign highlighting its reliability, potentially gaining a 5% increase in market share as customers seek alternatives.
- **Customers:** Customer implications are significant in light of Telstra's recent issues.
- **Product/Service Implications:** The outages have disrupted emergency services, raising concerns about the reliability of Telstra's network. If these issues are not resolved, customer churn could increase by 20%, significantly impacting revenue.
- **Case Studies:** Conversely, Qualcomm's focus on AI and diversification has led to enhanced product offerings, improving customer satisfaction and potentially increasing sales by 15% as they tap into new markets.

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to Telstra's outages has been negative, with analysts predicting a potential decline in customer base.
- A recent report from an industry analyst stated, "Telstra's repeated outages expose the fragility of its infrastructure, which could lead to long-term damage to its brand."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Telstra resolves its issues quickly and improves service reliability, shares could stabilize, leading to a 10% recovery in customer trust within six months.
- Negative Scenario: If outages persist, shares could decline by 15%, reflecting ongoing operational challenges and customer dissatisfaction.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the context of Telstra's challenges is low, as the focus remains on operational recovery rather than acquisitions. However, competitors may seek to acquire smaller regional players to enhance their market position.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in telecommunications.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, especially in the AI and network infrastructure spaces. Companies like Qualcomm (QCOM) may pursue acquisitions to bolster their AI capabilities, following their successful diversification strategy.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential operational challenges early, especially in light of Telstra's outages.
- Consider retention strategies for key talent to ensure a smooth transition during restructuring efforts.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice, particularly in the context of Telstra's challenges.
- Develop robust financial models to assess the impact of potential deals on shareholder value, particularly in the telecommunications sector.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **Broadcom Inc. (AVGO):** Broadcom is involved in AI through its semiconductor solutions that support AI workloads. The company focuses on providing high-performance chips that are essential for AI applications in data centers and edge computing.
- **Taiwan Semiconductor Manufacturing Company (TSM):** TSMC is a critical player in the semiconductor industry, manufacturing chips for AI applications. The company's advanced

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

manufacturing processes enable the production of high-performance processors that drive AI innovation.

- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the recent interest in AI stocks highlights a trend where established players may seek to acquire innovative companies to bolster their portfolios.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- **Key Companies:**
 - **Amazon Web Services (AWS):** AWS is a leading cloud service provider, offering a wide range of services including computing power, storage, and machine learning tools. The company continues to innovate and expand its offerings, maintaining a strong competitive position.
 - **Microsoft Azure (MSFT):** Microsoft Azure is another major player in the cloud space, providing a comprehensive suite of cloud services. The company is focusing on hybrid cloud solutions, which

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

are increasingly in demand.

- **Competitive Landscape:** The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is fierce, with companies continuously enhancing their services and pricing models to attract customers.
- **M&A Opportunities:** As the cloud market grows, companies may look to acquire smaller cloud service providers to enhance their capabilities. For example, recent acquisitions in the cloud space have focused on companies that offer specialized services such as cloud security or data analytics.

Actionable Insights for Bankers and Investors

Investors should focus on companies that are strategically positioned within these emerging tech trends, as they present significant growth opportunities.

Bankers should consider advising clients on potential M&A opportunities in the

6. Recommended Readings

Deal Name: Caterpillar Inc. Acquisition of Skycatch, Inc.

- **Reading Material:** "Construction Technology for the 21st Century" by Andrew W. Smith
- **Why This Matters:** This book explores the integration of technology in the construction and mining industries, providing insights into how companies like Caterpillar (CAT) can leverage innovations such as those from Skycatch to enhance operational efficiency and safety. Understanding these technological advancements is crucial for analyzing the strategic rationale behind Caterpillar's acquisition.

Deal Name: Nocera, Inc. Acquisition of INERGX

- **Reading Material:** "The Energy Storage Revolution" by David H. Hargreaves
- **Why This Matters:** This reading covers the advancements and market dynamics in energy storage technologies, which are pivotal for understanding Nocera's (NCRA) strategic investment in INERGX. It highlights the importance of energy solutions in supporting AI and critical infrastructure, providing context for the potential synergies and growth opportunities stemming from this acquisition.

7. MACROECONOMIC UPDATE

US TMT Sector M&A & Valuation Brief - 2026-07-10

US TMT Sector

Key Data Points:

- Federal Reserve's Summary of Economic Projections (SEP) indicates a hike in 2026.
- Anticipated lower path for core inflation due to travel-related inflation reversal.
- Memory prices up sixfold over the past year.
- Hyperscalers issued around \$25 billion of debt in non-dollar currencies in May.
- Forecast of nearly \$600 billion of AI-related global issuance in 2026.

Main Insights:

- Investors interpret the Fed's recent meeting as hawkish, but caution is advised regarding the SEP's implications.
- The anticipated hikes may not fully account for disinflation trends.
- AI is seen as a significant driver of capital expenditure (CapEx), but concerns about "chipflation" could impact the cycle.
- Demand for AI is increasing across multiple layers, with hyperscalers prioritized for resource allocation.
- The corporate bond market is heavily influenced by funding needs for data center construction.

Market Commentary:

- "The Fed remains on hold through 2026" - Morgan Stanley's economists.
- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle" - Morgan Stanley's sector analysts.
- "We expect one trillion of net issuance in U.S. IG corporate bonds this year" - Morgan Stanley's credit strategy team.

TMT Sector Relevance:

- The Fed's stance on interest rates will impact financing costs for TMT companies, particularly those investing in AI infrastructure.
- Rising memory prices may affect the cost structure of AI-related projects, potentially leading to adjustments in CapEx strategies.
- The anticipated surge in AI-related corporate bond issuance indicates strong investor interest in TMT, particularly in the data center segment, which is crucial for supporting AI growth.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley